

Gartner Ireland Limited

Directors' Report and Financial Statements

Year ended 31 December 2018

Registered number: 182294

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Officers and professional advisors

Directors	Anthony O'Connor Colm O'Connell William Dorgan
Secretary	Anthony O'Connor
Auditor	KPMG 1 Stokes Place St. Stephen's Green Dublin 2 D02 DE03 Ireland
Bankers	JP Morgan Chase Bank (Ireland) plc JP Morgan House Dublin 1
Solicitors	Matheson Ormsby Prentice 70 Sir John Rogerson's Quay Dublin 2
Registered office	80 Harcourt Street Dublin 2 Ireland

Directors' report

The Directors present their Directors' report and audited financial statements for the year ended 31 December 2018.

Principal activity

Gartner Ireland Limited (the "Company") is engaged in the provision and distribution of research products and advisory services.

Business review

Overview

Gartner, Inc., a corporation organized under the laws of the State of Delaware, USA and headquartered in Stamford, Connecticut, USA ("Gartner USA"), and its direct and indirect subsidiaries together constitute the world's leading research and advisory company. The Company provides business services and products both within and outside Ireland through its own employees, independent sales agents and affiliated companies in the following business segments:

- **Research** provides trusted, objective insights and advice on the mission-critical priorities of leaders across all functional areas of the enterprise through research and other reports, briefings, proprietary tools, access to the Company's analysts and advisors, peer networking services and membership programs that enable the clients to make better decisions.
- **Conferences** (formerly called Events) provide business professionals across the organization the opportunity to learn, share and network. From the Company's flagship CIO conference Gartner IT Symposium, to industry-leading conferences focused on specific business roles and topics, to member-driven sessions, the Company's offerings enable attendees to experience the best of Gartner insight and advice live.
- **Consulting** provides customised solutions to unique client needs through on-site, day-to-day support, as well as proprietary tools for measuring and improving IT performance with a focus on cost, performance, efficiency and quality.

Competitive Advantages

The Company believes that the principal factors that differentiate it from its competitors are:

- **Superior research content** — The Company believes that it creates and has access to the broadest, highest-quality and most relevant research coverage of all major functional roles in the enterprise. The Company's research analysis generates unbiased insight that it believes is timely, thought-provoking and comprehensive, and that is known for its high quality, independence and objectivity.
- **Leading brand name** — The Company has provided critical, trusted insight under the Gartner name for over 40 years.
- **Global footprint and established customer base** — The Company and its subsidiaries have a global presence with clients in more than 100 countries on six continents.
- **Experienced management team** — The directors and management team of the Company and its subsidiaries are composed of research veterans and experienced industry executives.
- **Substantial operating leverage in the Company's business model** — The Company has the ability to distribute its intellectual property and expertise across multiple platforms, including research publications, consulting engagements, conferences and executive programs, to derive incremental revenue and profitability.
- **Vast network of analysts and consultants** — As of 31 December 2018, Gartner Ireland Limited had access to over 2,114 research analysts and expert advisors and 718 experienced consultants located around the world. The analysts and advisors collectively speak 59 languages and are located in 26 countries, enabling the Company to cover vast aspects of business and technology on a global basis.

Directors' report *(continued)*

Principal Risks & Uncertainties

The Company and its subsidiary companies operate in a highly competitive and rapidly changing environment that involves numerous risks and uncertainties, some of which are beyond the Company's control. In addition, the Company and its clients are affected by global economic conditions and trends. The following discusses many, but not all, of the risks and uncertainties that may affect the Company's future performance, and is not intended to be all-inclusive. Any of the risks described below could have a material adverse impact on the Company's business, prospects, results of operations, financial condition, and cash flows.

- The Company's operating results could be negatively impacted by global economic conditions.
- The Company faces significant competition and its failure to compete successfully could materially adversely affect its results of operations, financial condition and cash flows.
- The Company and Gartner USA may not be able to maintain the quality of the existing products and services.
- The Company and Gartner USA may not be able to enhance and develop the existing products and services, or introduce the new products and services that are needed to remain competitive.
- Technology is rapidly evolving, and if the Company does not continue to develop new product and service offerings in response to these changes, the Company's business could suffer.
- The Company's research business depends on renewals of subscription-based services and sales of new subscription-based services for a significant portion of its revenue, and failure to renew at historical rates or generate new sales of such services could lead to a decrease in its revenues.
- The Company's consulting business depends on non-recurring engagements and failure to secure new engagements could lead to a decrease in its revenues.
- The profitability and success of the Company's conferences and other meetings could be adversely affected by external factors beyond its control.
- The Company's sales to governments are subject to appropriations and may be terminated.
- The Company may not be able to attract and retain access to qualified personnel which could jeopardise the quality of its products and services and its future growth plans.
- The Company may not be able to maintain the equity in its brand name.
- International operations expose the Company to a variety of operational and other risks which could negatively impact its financial condition, results of operations, and cash flows.
- The Company is exposed to volatility in foreign currency exchange rates from its international operations.
- Natural disasters, terrorist acts, war and other geopolitical events could disrupt the Company's operations.
- Privacy concerns could damage the Company's reputation and deter current and potential clients from using its products and services or attending its conferences.
- Internet and critical internal computer system failures, cyber-attacks, or compromises of the Company's systems or security could damage its reputation and harm its business.
- The Company may experience outages and disruptions of its online services if it fails to maintain an adequate operations infrastructure.
- If the Company is unable to enforce and protect its intellectual property rights, its competitive position may be harmed.
- The Company has grown, and may continue to grow, through acquisitions and strategic investments, which could involve substantial risks.

Directors' report *(continued)*

Performance Review

Gross profits for the year of €26,132,000 compared with €28,443,000 for the prior year represent an 8.1% decrease. The Company continues to execute a strategy to grow its research business and improve operating margins.

Operating results for the financial year show an operating profit of €3,918,000 compared to €6,127,000 for the prior year.

In monitoring performance, the directors and management have regard to a range of key performance indicators (KPI's) including the following:

<i>KPI</i>	Performance in 2018	Performance in 2017
Operating profit as a percentage of turnover	0.6%	1.0%
Net operating costs as a percentage of turnover	3%	4%
	€'000	€'000
Cash at bank and in hand	254	1,417
Trade debtors	13,142	10,411
Deferred revenue	35,232	27,189

Financial instruments

The Company has foreign exchange transaction risk since it typically enters into transactions in the normal course of business that are denominated in foreign currencies that differ from the local functional currency. The Company enters into short-term foreign currency forward exchange contracts to mitigate the economic effects of some of these foreign currency transaction risks.

Results and dividends

Details of the profit for the year are set out in the Profit and loss account on page 11 and in the related notes to the financial statements.

The Company did not pay any dividend in the current year (2017: €29,000,000).

Post balance sheet events

Effective 1 April 2019, Gartner Research Holdings Limited ("GRH") transferred and assigned to the Company its right, benefit and interest in and to certain ROW rights, CSA IP, Licensed IP, and Acquired IP, as fully explained in the Intangible Property Transfer Agreement between GRH and the Company, for consideration of approximately \$400m and settled with a note.

Directors' report *(continued)*

Directors

The directors who held office during the year, and up to the date of this report, unless otherwise noted, were as follows:

Anthony O'Connor
Joanne McHugh (resigned 25 May 2019)
Kimberly Holland (appointed 30 March 2018, resigned 27 March 2019)
Colm O'Connell (appointed 13 December 2018)
William Dorgan (appointed 27 March 2019)
Stephen Prior (UK) (resigned 30 March 2018)
Kristin Zompa (UK) (resigned 13 December 2018)

Accounting records

The directors believe that they have complied with the requirements of Section 281 to 285 of the Companies Act 2014 with regard to books of account by employing accounting personnel with appropriate expertise and by providing adequate resources to the financial function.

The books of account were maintained by Gartner's centralised accounting department located in Fort Myers, Florida, USA and at Tamesis, The Glanty, Egham, Surrey, UK.

Disclosure of information to the auditor

The directors who held office at the date of approval of this directors' report confirm that they have taken all steps necessary to make themselves aware of any relevant audit information and have established that the Company's statutory auditor is aware of that information. In so far as they are aware, there is no relevant audit information of which the Company's statutory auditor is unaware.

Audit committee

Pursuant to Section 167 of the Companies Act 2014, companies of a certain size require the directors to establish an audit committee or to explain the reasons why they have decided not to do so. The Company meets the criteria under Section 167. However, the directors have decided not to establish an audit committee for the Company as there is an audit committee in place at the ultimate parent level, Gartner USA, who also has an internal audit department which operates throughout the group to assist in testing and monitoring adherence to internal controls and policies.

Directors' compliance statement

The directors, in accordance with Section 225(2) of the Companies Act 2014, acknowledge that they are responsible for securing the Company's compliance with certain obligations specified in that section arising from the Companies Act 2014 [where applicable, the Market Abuse (Directive 2003/6/EC) Regulations 2005, the Prospectus (Directive 2003/71/EC) Regulations 2005, the Transparency (Directive 2004/109EC) Regulations 2007], and Tax laws ('relevant obligations'). The directors confirm that:

- a compliance policy statement has been drawn up setting out the Company's policies with regard to such compliance;
- appropriate arrangements and structures that, in their opinion, are designed to secure material compliance with the Company's relevant obligations, have been put in place; and
- a review has been conducted, during the financial year, of the arrangements and structures that have been put in place to secure the Company's compliance with its relevant obligations.

Directors' report *(continued)*

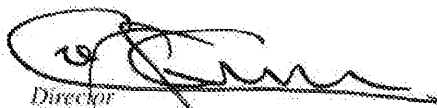
Political contributions

The Company made no political contributions during the year (2017: *€nil*).

Auditor

In accordance with Section 383(2) of the Companies Act 2014, KPMG, Chartered Accountants, were appointed as the auditor of the Company during the period and have expressed their willingness to continue in office.

On behalf of the board


Director
Colm O'Connell

26 September 2019


Director
Anthony O'Connor

26 September 2019

Registered office 80 Harcourt Street
Dublin 2
Ireland

Statement of directors' responsibilities in respect of the Directors' Report and the financial statements

The directors are responsible for preparing the directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the Company and of its profit or loss for that year. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records which disclose with reasonable accuracy at any time the assets, liabilities, financial position and profit or loss of the Company and enable them to ensure that the financial statements comply with the Companies Act 2014. They are responsible for such internal controls as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities. The directors are also responsible for preparing a directors' report that complies with the requirements of the Companies Act 2014.

On behalf of the board


Director
Colin O'Connell

26 September 2019


Director
Anthony O'Connor

26 September 2019

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF GARTNER IRELAND LIMITED

1 Report on the audit of the financial statements

Opinion

We have audited the financial statements of Gartner Ireland Limited ('the Company') for the year ended 31 December 2018 set out on pages 11 to 34, which comprise the Profit and Loss Account, Statement of Other Comprehensive Income / (Loss), Balance Sheet, Statement of Changes in Equity and related notes, including the summary of significant accounting policies set out in note 1. The financial reporting framework that has been applied in their preparation is Irish Law and FRS 101 *Reduced Disclosure Framework*.

In our opinion, the accompanying financial statements:

- give a true and fair view of the assets, liabilities and financial position of the Company as at 31 December 2018 and of its profit for the year then ended;
- have been properly prepared in accordance with FRS 101 *Reduced Disclosure Framework*; and
- have been properly prepared in accordance with the requirements of the Companies Act 2014.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (Ireland) ((ISAs (Ireland))) and applicable law. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with ethical requirements that are relevant to our audit of financial statements in Ireland, including the Ethical Standard issued by the Irish Auditing and Accounting Supervisory Authority (IAASA), and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

We have nothing to report on going concern

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least twelve months from the date of approval of the financial statements. We have nothing to report in these respects.

Other information

The directors are responsible for the other information presented in the annual report together with the financial statements. The other information comprises the information included in the directors' report. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except as explicitly stated below, any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work we have not identified material misstatements in the other information.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF GARTNER IRELAND LIMITED *(continued)*

Based solely on our work on the other information;

- we have not identified material misstatements in the directors' report;
- in our opinion, the information given in the directors' report is consistent with the financial statements;
- in our opinion, the directors' report has been prepared in accordance with the Companies Act 2014.

Opinions on other matters prescribed by the Companies Act 2014

We have obtained all the information and explanations which we consider necessary for the purposes of our audit.

In our opinion the accounting records of the Company were sufficient to permit the financial statements to be readily and properly audited and the financial statements are in agreement with the accounting records.

Matters on which we are required to report by exception

The Companies Act 2014 requires us to report to you if, in our opinion, the disclosures of directors' remuneration and transactions required by Sections 305 to 312 of the Act are not made. We have nothing to report in this regard.

2 Respective responsibilities and restrictions on use

Responsibilities of directors for the financial statements

As explained more fully in the directors' responsibilities statement set out on page 7, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A fuller description of our responsibilities is provided on IAASA's website at https://www.iaasa.ie/getmedia/b2389013-1ef6-458b-9b8f-a98202dc9c3a/Description_of_auditors_responsibilities_for_audit.pdf

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF GARTNER IRELAND
LIMITED** *(continued)*

The purpose of our audit work and to whom we owe our responsibilities

Our report is made solely to the Company's members, as a body, in accordance with Section 391 of the Companies Act 2014. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Maurice McCann
for and on behalf of KPMG
Chartered Accountants, Statutory Audit Firm
1 Stokes Place
St. Stephen's Green
Dublin 2
D02 DE03
Ireland

26 September 2019

Profit and Loss Account
for the year ended 31 December 2018

	<i>Note</i>	2018 €'000	2017 €'000
Turnover	2	668,926	600,975
Cost of sales		(642,794)	(572,532)
Gross Profit		26,132	28,443
Net operating expenses		(22,214)	(22,316)
Operating profit		3,918	6,127
Dividend income from shares in group undertakings	8	3,000	14,000
Interest receivable and similar income	3	119	64
Interest payable and similar expenses	4	(337)	-
Profit before taxation	5	6,700	20,191
Tax on profit	10	(6,956)	(7,403)
(Loss) / profit for the financial year		(256)	12,788

All activities in current and prior year derived from continuing operations.

The notes on pages 15 to 34 form an integral part of these Financial Statements.

Statement of Other Comprehensive Income / (Loss)
for the year ended 31 December 2018

	2018	2017
	€'000	€'000
(Loss) / profit for the year	(256)	12,788
Other comprehensive loss		
<i>Items that may or may not be reclassified to profit or loss:</i>		
Effects of currency translation on foreign branches	(455)	(149)
Other comprehensive loss for the year, net of tax	(455)	(149)
Total comprehensive (loss) / income for the year	(711)	12,639

The notes on pages 15 to 34 form an integral part of these Financial Statements.

Balance Sheet
at 31 December 2018

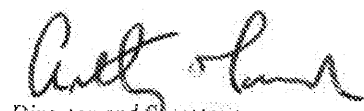
	Note	2018 €'000	2018 €'000	2017 €'000	2017 €'000
Fixed assets					
Tangible assets	11		107		148
Investments in subsidiaries	12		938,029		94,683
			<u>938,136</u>		<u>94,831</u>
Current assets					
Debtors	13	74,033		64,611	
Cash at bank and in hand		254		1,417	
		<u>74,287</u>		<u>66,028</u>	
Creditors: amounts falling due within one year	15	<u>(64,421)</u>		<u>(55,691)</u>	
Net current assets			<u>9,866</u>		<u>10,337</u>
Total assets less current liabilities			<u>948,002</u>		<u>105,168</u>
Creditors: amounts falling due after one year	16		<u>(611)</u>		<u>(412)</u>
Net assets			<u>947,391</u>		<u>104,756</u>
Capital and reserves	19				
Called up share capital			195		125
Capital reserve			941,654		98,378
Other reserves			190		645
Profit and loss account			<u>5,352</u>		<u>5,608</u>
Shareholders' funds			<u>947,391</u>		<u>104,756</u>

The notes on pages 15 to 34 form an integral part of these Financial Statements.

On behalf of the board


Director
Colm O'Connell

26 September 2019


Director and Secretary
Anthony O'Connor

26 September 2019

Company registration number: 182294

Statement of Changes in Equity
for the year ended 31 December 2018

	Called up share capital	Profit and loss account	Capital reserve	Other reserve	Total equity
	€'000	€'000	€'000	€'000	€'000
Balance at 1 January 2017	120	21,820	40,631	794	63,365
Issue of shares	5	-	57,747	-	57,752
Profit for the financial year	-	12,788	-	-	12,788
Dividends	-	(29,000)	-	-	(29,000)
Foreign currency translation	-	-	-	(149)	(149)
Balance at 31 December 2017	125	5,608	98,378	645	104,756
Issue of shares	70	-	843,276	-	843,346
(Loss) / profit for the financial year	-	(256)	-	-	(256)
Foreign currency translation	-	-	-	(455)	(455)
Balance at 31 December 2018	195	5,352	941,654	190	947,391

The notes on pages 15 to 34 form an integral part of these Financial Statements.

Notes

1 Accounting policies

Gartner Ireland Limited (the "Company") is a private company incorporated and domiciled in Ireland. The registered number is 182294 and the registered address is 80 Harcourt Street, Dublin 2, Ireland.

Basis of preparation

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* ("FRS 101") as issued in August 2014. The amendments to FRS 101 applicable and effective for financial years presented, have also been applied.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRSs"), but makes amendments where necessary in order to comply with the Companies Act 2014 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital and tangible fixed assets;
- disclosures in respect of transactions with wholly owned subsidiaries;
- certain disclosures under IFRS 15 *Revenue from Contracts with Customers*;
- the effects of new but not yet effective IFRSs; and
- disclosures in respect of the compensation of key management personnel.

As the consolidated financial statements of Gartner Inc., a corporation organized under the laws of the State of Delaware, United States of America, and the ultimate parent entity of the Company ("Gartner USA"), include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- The disclosures required by IFRS 7 *Financial Instrument Disclosures* and IFRS 13 *Fair Value Measurement* regarding financial instrument disclosures have not been provided apart from those which are relevant for the financial instruments which are held at fair value and are not either held as part of trading portfolio or derivatives.

The Company proposes to continue to adopt the reduced disclosure framework of FRS 101 in its next financial statements.

The Company has initially applied IFRS 9 *Financial Instruments* and IFRS 15 *Revenue from Contracts with Customers* from 1 January 2018. Due to the transition method chosen by the Company in applying IFRS 9 and 15, comparative information throughout these financial statements has not been restated to reflect the new standards' requirement. Changes to significant accounting policies in applying the standards are described below. The adoption of IFRS 9 and 15 did not result in a cumulative effect adjustment to the Company's financial statements.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

The financial statements have been prepared in Euro.

Notes (continued)

1 Accounting policies (continued)

Consolidation

The Company is exempt per Section 300 of the Companies Act 2014 from the requirement to prepare consolidated financial statements prepared in accordance with International Financial Reporting Standards on the basis that it is an indirect wholly owned subsidiary of Gartner USA which prepares and files consolidated financial statements incorporating the results of the Company. Accordingly, these financial statements present information about the Company as a single entity together with its branches.

The following accounting policies, unless otherwise stated, have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis. Non-current assets and disposal groups held for sale are stated at the lower of previous carrying amount and fair value less costs to sell.

1.2 Going concern

The Company's business activities, together with the factors likely to affect its future development, performance and position, are set out in the business review on pages 2 - 6. After making enquiries, the Directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason, they continue to adopt the going concern basis in preparing the financial statements.

1.3 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of tangible assets. The estimated useful economic lives as follows:

Short leasehold improvements	-	shorter of the lease term or the useful economic life of the assets
Computers	-	3 years
Telephone and office equipment	-	5 years
Furniture & Fixtures	-	8 years

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

1.4 Non-derivative financial instruments

Non-derivative financial instruments comprise investments in equity securities, trade and other debtors, cash and cash equivalents, and trade and other creditors. Subsequent to initial recognition, all assets are measured at amortised cost within the scope of IFRS 9.

Trade and other debtors

Trade and other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in equity securities

Investments in equity securities are measured at fair value through profit or loss.

Notes (continued)

1 Accounting policies (continued)

1.5 Derivative financial instruments

Derivative financial instruments are recognised at fair value. The gain or loss on remeasurement to fair value is recognised immediately in profit or loss. However, where derivatives qualify for hedge accounting, recognition of any resultant gain or loss depends on the nature of the item being hedged.

Forward contracts

The Company has foreign exchange transaction risk, since it typically enters into transactions that are denominated in foreign currencies which differ from the local functional currency. The Company enters into short-term foreign currency forward exchange contracts to mitigate the economic effects of these foreign currency transaction risks. These contracts are accounted for at fair value with realised and unrealised gains and losses recognised in Other Expense, net since the Company does not designate these contracts as hedges for accounting purposes.

1.6 Foreign currencies

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss account.

The profits and losses of branches denominated in foreign currencies are translated at average rates for the period. Exchange differences resulting from the retranslation of the opening balance sheets of branches denominated in foreign currencies at closing rates, together with the differences on the translation of the income statements, are included in other comprehensive income.

1.7 Leased assets

Operating lease payments are recognised in the profit or loss on a straight line basis over the term of the lease. Lease incentives received are recognised in the profit or loss as an integral part of the total lease expense.

1.8 Employee benefits

Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.9 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit or loss except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet reporting date, and any adjustment to tax payable in respect of previous years.

Notes (continued)

1 Accounting policies (continued)

1.9 Taxation (continued)

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

1.10 Impairment

IFRS 9 *Financial Instruments* replaces the provisions of IAS 39 that relate to the recognition, classification and measurement of financial assets and financial liabilities, derecognition of financial instruments, impairment of financial assets and hedge accounting. As explained, IFRS 9 was adopted without restating comparative information, and it did not result in a cumulative effect adjustment to the Company's financial statements. The key changes to the Company's accounting policies resulting from its adoption of IFRS 9 *Financial Instruments* relate to impairment on financial assets as described below.

Financial assets (including trade and other debtors)

Accounting policy before January 1, 2018

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Accounting policy after January 1, 2018

IFRS 9 replaced the "incurred loss" model in IAS 39 with an "expected credit loss (ECL)" model, which means that a loss event will no longer need to occur before an impairment allowance is recognised.

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether it is impaired using the ECL model. Loss allowances are measured as 12-month ECL if the credit risk on the financial asset has not increased significantly since the initial recognition. If the credit risk has increased significantly, lifetime ECL are recognized.

ECL are a probability-weighted estimate of credit losses over the expected life of the financial instrument. For a financial asset that is not credit-impaired at the reporting date, loss allowances are calculated as the present value of all cash shortfalls (i.e. the difference between all contractual cash flows that are due in accordance with the contract and all the cash flows that are expected to be received), discounted at the original effective interest rate. For a financial asset that is credit-impaired at the reporting date but that is not a purchased or originated credit-impaired financial asset, loss allowances are calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted at the original effective interest rate. Interest on the impaired asset continues to be recognized through the unwinding of the discount. When a subsequent event causes the amount of loss allowances to decrease, the decrease in loss allowances is reversed through profit and loss.

Notes (continued)

1 Accounting policies (continued)

1.10 Impairment (continued)

Non-financial assets

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit").

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.11 Dividends on shares presented within shareholders' funds

Dividends unpaid at the balance sheet date are only recognised as a liability at that date to the extent that they are appropriately authorised and are no longer at the discretion of the Company. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

1.12 Turnover

The Company recognises revenue when performance obligations have been satisfied. Continuous service revenues are recognised ratably over the applicable contract term (i.e. as the Company provides services over the contract period), generally a twelve month period. The Company's policy is to record, at the time of signing of a continuous service contract, the fees receivable and related deferred revenues for the full amount of the contract billable on that date. Cancellations have not been significant. All contracts are billable at signing, except in certain limited cases when special terms are granted.

Other revenues principally comprise revenues recognised as earned from consulting engagements, publications and other non-continuous services. Revenues from consulting engagements are recognised as work is delivered or services provided and are evaluated on a contract by contract basis, and publication and other non-continuous service revenues are recognised on the date of publication or completion of service.

The accounting policy on revenue recognition remains unchanged following the adoption of IFRS 15.

1.13 Other income and expenses

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method. Dividend income is recognised in the profit and loss account on the date the entity's right to receive payments is established. Foreign currency gains and losses are reported on a net basis.

The Company also records the related commission obligation upon signing of the contract and amortises the corresponding deferred commission expense over the contract year in which the related continuous services revenues are earned and recognised as income.

Notes (continued)

2 Turnover

Turnover represents the amounts (excluding Value Added Tax and other sales taxes) derived from the provision of goods and services to customers and other group companies.

The Company is exempt from the scope of IFRS 8 and accordingly has not disclosed any segmental information regarding turnover.

The Company has initially applied IFRS 15 *Revenue from Contracts with Customers* from 1 January 2018 using cumulative effect method. Under this method of adoption, the cumulative effect of applying the new standard is recorded at the date of the initial application, with no restatement of comparative prior periods presented. The adoption of IFRS 15 did not result in a cumulative effect adjustment to the Company's financial statements. However, the adoption of the new standard required reclassifications of certain amounts presented in the Company's balance sheet and improved disclosures notwithstanding the exemptions available under FRS 101.

Required disclosures under IFRS 15

(i) Customer contract assets and liabilities

The Company has recognised the following assets and liabilities related to contracts with customers:

	31 December 2018 €'000	1 January 2018 ⁽¹⁾ €'000	31 December 2017 ⁽¹⁾ €'000
Assets:			
Trade debtors and accrued income, gross	24,074	21,420	21,579
Contract assets (1)	177	159	—
Loss allowance	(133)	—	—
	<u>24,118</u>	<u>21,579</u>	<u>21,579</u>
Contract liabilities:			
Deferred revenues (current liability)	34,918	27,086	27,086
Non-current deferred revenue	314	103	103
	<u>35,232</u>	<u>27,189</u>	<u>27,189</u>

- (1) Contract assets represent recognised revenue for which we do not have an unconditional right to payment as of balance sheet date because the project may be subject to a progress billing milestone or some other billing restriction. As a result of IFRS 15 adoption, €159,000 was reclassified from accrued income to contract asset on 1 January 2018.

During the year ended 31 December 2018, the Company recognised €16,577,000 of revenue that was attributable to deferred revenue that was recorded at 31 December 2017. In 2018, the Company recorded €133,000 loss allowance for contract assets following the adoption of IFRS 9 (see note 1.10 for impairment accounting policy).

Notes (continued)

2 Turnover (continued)

(ii) Assets recognised from the costs to obtain or fulfil contracts with customers

Upon the signing of a customer contract, the Company capitalises the related commission as a recoverable direct incremental cost of obtaining the underlying contract and records a corresponding commission payable. No other amounts are capitalised as a cost of obtaining or fulfilling a customer contract because no expenditures have been identified that meet the requisite capitalisation criteria. For research, consulting and other, the straight-line method is used for amortising deferred commissions over a period that is based on the projected recoverability for such costs, using factors such as the underlying contract period, the timing of when the corresponding revenues will be earned and the anticipated term of the engagement.

At 31 December 2018, the balance of prepaid commissions was €6,668,000 in connection with costs to obtain or fulfil contracts with customers. During the year ended 31 December 2018, the Company recognised €9,095,000 amortisation expense on commissions and €nil impairment.

3 Interest receivable and similar income

	2018 €'000	2017 €'000
Interest receivable on intercompany loans	119	41
Bank interest receivable	-	23
	<u>119</u>	<u>64</u>

4 Interest payable and similar expenses

	2018 €'000	2017 €'000
Interest payable on intercompany payments	337	-
	<u>337</u>	<u>-</u>

5 Expenses and auditor's remuneration

Profit before tax is stated after charging for the following:

	2018 €'000	2017 €'000
Audit of these financial statements	35	16
Depreciation of owned tangible fixed assets	43	46
Foreign exchange loss	222	740
Rentals payable under operating leases		
- Land and buildings	91	109
	<u></u>	<u></u>

Notes (continued)

6 Directors' remuneration and transactions

	2018 €'000	2017 €'000
Directors' remuneration		
Directors' emoluments	80	98
Company contributions to money purchase pension schemes	-	10
Amounts paid to third parties in respect of Directors' services	14	10
	<u>94</u>	<u>118</u>

The aggregate of emoluments and amounts receivable in cash or under long term incentive schemes of the highest paid director was €74,000 (2017: €108,000).

7 Staff numbers and costs

The average number of persons employed by the Company during the year, analysed by category, was as follows:

	2018 Number	2017 Number
Professional	35	31

The aggregate payroll costs of these persons were as follows:

	2018 €'000	2017 €'000
Wages and salaries	6,271	4,942
Social security	623	523
Contributions to defined contribution plan	318	256
	<u>7,212</u>	<u>5,721</u>

Administrative services and support are provided by various group companies.

Certain employees are remunerated with equity awards in the ultimate parent company. The charge during the current and prior years is considered to be immaterial; therefore no further disclosure is necessary for these accounts.

Notes (continued)

8 Income from investments in subsidiaries

	2018 €'000	2017 €'000
Dividend income from shares in other group companies	3,000	14,000
	<u>3,000</u>	<u>14,000</u>

9 Employee benefits

All pension entitlements of staff are met by payments to a group externally funded defined contribution scheme which is vested in independent trustees, nominated for the sole benefit of employees and their dependants.

The total pension cost for the year amounted to €318,089 (2017: €256,468). The balance of contributions due to the defined contribution scheme at 31 December 2018 was €49,166 (2017: €nil).

10 Taxation

Recognised in the profit and loss account

	2018 €'000	2018 €'000	2017 €'000	2017 €'000
<i>Irish corporation tax</i>				
Current tax on income for the period	58		768	
Adjustments in respect of prior periods	(423)		4	
	<u></u>	(365)	<u></u>	772
<i>Foreign tax</i>				
Current tax on income for the period	7,142		6,122	
Adjustments in respect of prior years	189		508	
	<u></u>	7,331	<u></u>	6,630
Total current tax		<u>6,966</u>		<u>7,402</u>
<i>Deferred tax (see note 14)</i>				
Total deferred tax		(10)		1
Tax on profit		<u>6,956</u>		<u>7,403</u>

Notes (continued)

10 Taxation (continued)

Reconciliation of effective tax rate

	2018 €'000	2017 €'000
(Loss) / profit for the year	(256)	12,788
Total tax expense	6,956	7,403
Profit excluding taxation	6,700	20,191
Tax using the Irish corporation tax rate of 12.5% (2017: 12.5%)	838	2,524
Effects of:		
Differential on tax rate on investment income	508	11
Non-deductible expenses	(756)	237
Short term timing differences	10	-
Underlying tax relieved on foreign dividend income	(977)	(1,977)
Double tax relief on trading income	-	(41)
Foreign tax suffered	7,142	6,122
Other	18	15
Carryback of trade losses	417	-
(Over) / under provided in prior years	(244)	512
Total tax expense	6,956	7,403

11 Tangible fixed assets

	Computers and office equipment €'000	Fixtures, fittings and telephone equipment €'000	Short leasehold improvements €'000	Total €'000
<i>Cost</i>				
Balance at 1 January 2018	82	82	173	337
Additions	3	-	-	3
Disposals	(13)	-	-	(13)
Balance at 31 December 2018	72	82	173	327
<i>Depreciation</i>				
Balance at 1 January 2018	63	42	84	189
Disposals	(12)	-	-	(12)
Charge for year	13	10	20	43
Balance at 31 December 2018	64	52	104	220
Net book value				
At 31 December 2018	8	30	69	107
At 31 December 2017	19	40	89	148

Notes (continued)

12 Investments in subsidiaries

	Shares in other group undertakings €'000
<i>Cost</i>	
At 1 January 2018	94,683
Additions	843,346
At 31 December 2018	<u>938,029</u>
<i>Provisions</i>	
At 1 January and 31 December 2018	<u>—</u>
<i>Net book value</i>	
At 31 December 2018	<u>938,029</u>
At 31 December 2017	<u>94,683</u>

On 14 September 2018, the Company acquired 100% of shares in CEB Global Limited, a group undertaking, from its immediate parent undertaking, Gartner Research Holdings Limited, for consideration of \$980m and settled with issuance of 69,789 shares with a par value of €1.

On 14 September 2018, immediately after acquisition in the aforementioned transaction, the Company in turn contributed 100% of its interest in CEB Global Limited to Gartner Europe Holdings B.V., its direct subsidiary undertaking, for consideration of \$980m and settled with 330 shares of Gartner Europe Holdings B.V. with a par value of €100.

The Company believes that the valuation attributed to the subsidiaries is at least equal to the subsidiaries' net realisable value.

Notes (continued)

12 Investments in subsidiaries (continued)

The Company has the following investments in subsidiaries:

Subsidiary undertaking and registered office	Country of Incorporation	Principal Activity	Shares held by Company	
			Type	Percentage
Gartner Europe Holdings B.V. Keizersgracht 311, 1016EE Amsterdam	Netherlands	Holding & Investment company	Ordinary	100%
CEB India Private Limited 6th Floor, Tower B, DLF Building No.10, DLF Cyber City, Gurgaon 122002	India	IT Research & Consulting	Ordinary	0.001%
Shares held by subsidiary undertaking				
Gartner UK Limited Tamesis, The Glanty, Egham, Surrey, T20 9AW	United Kingdom	IT Research & Consulting	Ordinary	100%
CEB Global Limited Tamesis, The Glanty, Egham, Surrey, T20 9AW	United Kingdom	IT Research & Consulting	Ordinary	100%
Computer Financial Consultants Limited Tamesis, The Glanty, Egham, Surrey, T20 9AW	United Kingdom	Technical & Financial Consulting	Ordinary	100%
Newco 5CL Ltd 2 London Bridge, London, SE1 9RA	United Kingdom	Holding and Investment Company Consulting	Ordinary	100%
Rapture World Limited 2 London Bridge, London, SE1 9RA	United Kingdom	IT Research & Consulting	Ordinary	100%
SCM World Limited (dormant) 2 London Bridge, London, SE1 9RA	United Kingdom	Holding and Investment Company Consulting	Ordinary	100%
Machina Research (Hong Kong) Ltd. Suite A, 11/F, Ho Lee Commercial Building 38-44 D'Aguilar Street, Central	Hong Kong	IT Research & Consulting	Ordinary	100%
Gartner France SARL Tour Europlaza, 20 avenue André Prothin 92927 Paris La Defense Cedex	France	IT Research & Consulting	Ordinary	100%
Gartner Deutschland GmbH Leher-Wirth-Str. 2, 82829 München	Germany	IT Research & Consulting	Ordinary	100%
Meta Group GmbH Leher-Wirth-Str. 2, 82829 München	Germany	IT Research & Consulting	Ordinary	100%
Gartner Danmark ApS Kalvebod Brygge 45, 3rd floor, 1560 Copenhagen V	Denmark	IT Research & Consulting	Ordinary	100%
Gartner Norge AS Karenslyst Alle 57, 0277 Oslo	Norway	IT Research & Consulting	Ordinary	100%
Gartner Sverige AB Box 724, 169 27 Solna	Sweden	IT Research & Consulting	Ordinary	100%

Notes (continued)

12 Investments in subsidiaries (continued)

Shares held by subsidiary undertaking	Country of Incorporation	Principal Activity	Shares held by Company	
			Type	Percentage
Gartner Nederland BV De Entree, 16 th Floor, Entree 256 1101 EE, Amsterdam Zuid Oost	Netherlands	IT Research & Consulting	Ordinary	100%
Gartner Italia Srl Via Caldera 21, Edif. E – Ala 2, 201 53 Milano	Italy	IT Research & Consulting	Ordinary	100%
Gartner Switzerland GmbH Förlibuckstrasse 70, CH-8005 Zürich, Switzerland	Switzerland	IT Research & Consulting	Ordinary	100%
Gartner Belgium BVBA Corporate Village, Building Figueras, L. Da Vincilaan 11, 190 Zaventem, Brussels	Belgium	IT Research & Consulting	Ordinary	100%
Gartner Austria GmbH Kärntnerstrasse 25, A-1010 Vienna	Austria	IT Research & Consulting	Ordinary	100%
Gartner España, S.L. Paseo de la Castellana, 31, La Piramide, 28046, Madrid	Spain	IT Research & Consulting	Ordinary	100%
Nubera eBusiness S.L. Carrer de Pallars 193, Barcelona, Spain 08021	Spain	Software Lead Generation	Ordinary	100%
Gartner Gulf FZ LLC Offices 206-209, Floor 2, Building 2, PO Box 500 391 Dubai Internet City, Dubai	United Arab Emirates	IT Research & Consulting	Ordinary	100%
Gartner Mexico S. DE R.L. DE. C. V Boulevard Manuel Ávila Camacho no. 36 Piso 10 Col. Lomas de	Mexico	IT Research & Consulting	Ordinary	99.9%
Gartner Australasia Pty Limited Level 18, 40 Mount Street, North Sydney, NSW 2060	Australia	IT Research & Consulting	Ordinary	100%
Gartner Hong Kong, Ltd. Suite 2204-6, 22/F, DCH Commercial Centre, 25 Westlands Road, Quarry Bay	Hong Kong	IT Research & Consulting	Ordinary	100%
Gartner Advisory (Singapore) Pte Limited Co. 6 Temasek Boulevard, #13 Suntec City Tower 3	Singapore	IT Research & Consulting	Ordinary	100%
Gartner Group Taiwan Limited 110, 6F.-1, No.200, Sec. 1, Keelung Rd. Xinyi District, Taipei City 110	Taiwan	IT Research & Consulting	Ordinary	100%
Gartner India Research & Advisory Services Private Limited Raheja Towers, 2nd Floor, C-30 G-Block Bandra Kurla Complex, Bandra East, Mumbai 400051	India	IT Research & Consulting	Ordinary	99.98%
Gartner Consulting (Beijing) Co. Ltd F8, Building B, Parkview Green FangCaoDi No.9 Dongdaqiao Road, Chaoyang District Beijing 100020	China	IT Research & Consulting	Ordinary	100%

Notes (continued)

12 Investments in subsidiaries (continued)

Shares held by subsidiary undertaking	Country of Incorporation	Principal Activity	Shares held by Company	
			Type	Percentage
Meta Saudi Arabia (dormant) Dubai Internet City	United Arab Emirates	IT Research & Consulting	Ordinary	100%
Gartner Research & Advisory (Korea) Co., Ltd. Suite 2407, World Trade Tower, 159 Samsung-Dong Kangnam-gu, Seoul 135729	Korea	IT Research & Consulting	Ordinary	100%
Gartner Research & Advisory (Malaysia) SDN, BHD Unit 29-01, Level 29, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi 59200 Kuala Lumpur, Malaysia	Malaysia	IT Research & Consulting	Ordinary	70%
Gartner Israel Advisory Ltd. 6 Hachoshlim Street, 1st Floor, PO Box 12006 Herzliya Pituach, 46722	Israel	IT Research & Consulting	Ordinary	100%
Gartner Turkey Teknoloji Arastirma ve Danismanlik Hizmetleri Limited Sirketi Buyukdere Cd. 1. Levent Plaza, No: 17 Kat :7, 34220 Levent, Istanbul	Turkey	IT Research & Consulting	Ordinary	100%
Gartner Saudi Arabia Limited Centria Mall, Offices Tower 4th Floor, Suite No 403, Room No 2, Riyadh	Saudi Arabia	IT Research & Consulting	Ordinary	100%
Gartner Finland Oy Niittykatu 8, Espoo, 02200	Finland	IT Research & Consulting	Ordinary	100%
Gartner RUS LLC Level 4, 4th Lesnov Pereulok 4, Moscow 125047	Russia	IT Research & Consulting	Ordinary	100%
Gartner Poland sp. z o.o. Regus Skyflight, 14th floor ul. Ziota 59, 00-120 Warszawa	Poland	IT Research & Consulting	Ordinary	100%
Gartner South Africa (Pty) Ltd. Suites 3 and 4A, First Floor, Madison Place Alphen Park, Constantia, Cape Town	South Africa	IT Research & Consulting	Ordinary	100%
CEB India Private Limited 6th Floor, Tower B, DLF Building No.10, DLF Cyber City, Gurgaon 122002	India	IT Research & Consulting	Ordinary	99.999%
CEB Singapore Pte. Limited Level 14, Marina One, East Tower 7 Straits View, Singapore 018936	Singapore	IT Research & Consulting	Ordinary	100%
CEB Holdings Australia Pty Limited Level 8, 77 King Street, Sydney, NSW 2000	Singapore	IT Research & Consulting	Ordinary	100%

Notes (continued)

13 Debtors

	2018 €'000	2017 €'000
Trade debtors	13,142	10,411
Amounts owed by group undertakings	34,902	37,394
Tax recoverable	2,227	-
Other debtors	289	205
Deferred tax asset (see note 14)	28	18
Prepayments and accrued income	23,445	16,583
At end of year	<u>74,033</u>	<u>64,611</u>

All amounts fall due within one year.

14 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets are attributable to the following:

	2018 €'000	Assets 2017 €'000
Tangible fixed assets	5	4
Provisions	23	14
Tax assets	<u>28</u>	<u>18</u>

No deferred tax asset is recognised in respect of unrelieved foreign tax credit on foreign source dividend income of €12,807,648 (2017: €12,807,648), unrelieved foreign tax credit on a discontinued permanent establishment of €13,864 (2017: €13,864) and capital loss of €60,073 (2017: €60,073).

Movement in deferred tax during the year

	1 January 2018 €'000	Recognised in income €'000	31 December 2018 €'000
Tangible fixed assets	4	1	5
Provisions	14	9	23
	<u>18</u>	<u>10</u>	<u>28</u>

Notes (continued)

14 Deferred tax assets and liabilities (continued)

Movement in deferred tax during the prior year

	1 January 2017	Recognised in income	31 December 2017
	€'000	€'000	€'000
Tangible fixed assets	4	-	4
Provisions	15	(1)	14
	<u>19</u>	<u>(1)</u>	<u>18</u>

15 Creditors: amounts falling due within one year

	2018 €'000	2017 €'000
Trade creditors	591	394
Taxation and social security	891	516
Corporate tax	-	481
Amounts owed to group undertakings	21,094	21,551
Accruals	6,927	5,663
Deferred income - current	34,918	27,086
	<u>64,421</u>	<u>55,691</u>
Taxation and social security consists of:		
VAT	891	516
	<u>891</u>	<u>516</u>

16 Creditors: amounts falling due after one year

	2018 €'000	2017 €'000
Amounts owed to group undertakings	297	309
Deferred income – long term portion	314	103
	<u>611</u>	<u>412</u>

Notes (continued)

17 Derivative financial instruments

Fair values of derivative financial instruments

IFRS 7 and IFRS 13 provides a framework for the measurement of fair value and a valuation hierarchy based upon the transparency of inputs used in the valuation of assets and liabilities. Classification within the hierarchy is based upon the lowest level of input that is significant to the resulting fair value measurement. The table below analyses financial instruments, into a fair value hierarchy based on the valuation technique used to determine fair value.

- * Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- * Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices)
- * Level 3: inputs for the assets or liability that are not based on observable market data (unobservable inputs).

The fair values of derivative financial instruments by class shown in the balance sheet are as follows:

	Fair value 2018 €000	Fair value 2017 €000
IFRS 9 categories of financial instruments designated as fair value through profit or loss (note 18)		
Foreign currency forwards	(197)	20
Total financial (liabilities) / assets at fair value through profit or loss	(197)	20

The Company enters into foreign currency forward exchange contracts to hedge the effects of adverse fluctuations in foreign currency exchange rates. Valuation of the foreign currency forward contracts is based on foreign currency exchange rates in active markets, which the Company considers a Level 2 input.

18 Forward contracts

As of 31 December 2018, the Company has 58 (2017: 47) short-term foreign currency forward exchange contracts outstanding with notional contract amount of €109,287,674 (2017: €79,070,820). The fair value of the asset/(liability) at the end of the year is (€196,537) (2017: €20,240). All of the outstanding contracts at 31 December 2018 matured by the end of January 2019.

Notes (continued)

19 Capital and reserves

Share capital

	€'000
On issue at 1 January 2018	125
Issued during the year	70
<i>On issue at 31 December 2018</i>	<i>195</i>

	2018 €'000	2017 €'000
<i>Authorised</i>		
2,000,000 ordinary shares of €1.00 each	2,000	2,000

	2018 €'000
<i>Allotted, called up and fully paid</i>	
<i>Equity</i>	
194,817 ordinary shares of €1.00 each	195

On 31 January 2018, Gartner Holdings Ireland Unlimited Company, its immediate parent undertaking at the time, transferred 100% of its interest in the Company, among other assets, to Gartner Research Holdings Limited, a group undertaking, pursuant to the Asset and Share Contribution Agreement. The Company's immediate parent undertaking is Gartner Research Holdings Limited at 31 December 2018.

On 14 September 2018, the Company issued 69,789 ordinary shares, par value €1.00 each, to acquire CEB Global Limited, a group undertaking, which was in turn contributed to the Company's subsidiary Gartner Europe Holdings B.V. (see note 12). The shares allotted are presented as equity.

Capital reserves

Capital reserves represent contributions of capital in the form of cash, shares in subsidiary undertakings or assets from the Company's ultimate parent, Gartner USA. Of capital reserves, €901,022,000 represents share premium (2017: €57,747,000).

Other reserves

Other reserves represent the exchange differences resulting from the retranslation of the opening balance sheets of branches denominated in foreign currencies at closing rates, together with the differences on the translation of the income statement.

Notes (continued)

20 Operating leases

Non-cancellable operating lease rentals are payable as follows:

	2018 Land and buildings €'000	2017 Land and buildings €'000
<i>Operating leases which expire</i>		
Less than one year	67	67
Between one and five years	-	236
	67	303

The Company leased approximately 3,000 square feet of office space in Dublin. The lease commenced in July 2013 for a nine-year term. During 2018, the break option was exercised, and the lease term reduced by 3 years and expires on 30 June 2019. In 2019, the Company signed a new lease commencing in April 2019 for a fifteen-year term.

21 Related parties

The Company has availed of the exemption available in paragraph 8(k) of FRS 101 from disclosing transactions with group undertakings. Other than transactions with related group undertakings there are no related party transactions requiring disclosure.

22 Ultimate parent company and parent company of a larger group

The Company's ultimate parent undertaking is Gartner USA. The largest and smallest group in which the results of the Company and its subsidiary undertakings are consolidated is that headed by Gartner USA whose registered office address is 2711 Centerville Road, Suite 400, Wilmington, Delaware 19808. The consolidated financial statements of Gartner USA are available to the public on www.investor.gartner.com and also on www.sec.gov, and may be obtained by making written request to Investor Relations Department, Gartner, Inc., 56 Top Gallant Road, Stamford, CT 06904, U.S.A.

23 Subsequent events

Effective 1 April 2019, Gartner Research Holdings Limited ("GRH") transferred and assigned to the Company its right, benefit and interest in and to certain ROW rights, CSA IP, Licensed IP, and Acquired IP, as fully explained in the Intangible Property Transfer Agreement between GRH and the Company, for consideration of approximately \$400m and settled with a note.

Notes (continued)

24 Accounting estimates and judgements

The preparation of financial statements requires the use of estimates and judgements about future events. Management develops estimates using both current and historical experience, as well as other factors, including the general economic environment and actions that may be taken in the future. Management adjusts such estimates when the facts and circumstances dictate. However, Management's estimate may involve significant uncertainties and judgements and cannot be determined with precision. In addition, these estimates are based on best judgement at a point in time and as such these estimates could be material and would be reflected in the Company's financial statements in future periods. Management's selection of the accounting policies which contain critical estimates and judgements is listed below:

- Tangible fixed assets - Impairment: note 1 (1.3) – If there is an indication of impairment of these assets, an assessment will be undertaken to determine an estimate of the recoverable value of the asset.
- Revenue recognition: note (1.12) – A judgement is made to recognise revenue evenly over the contract period, with reference to the milestones achieved in the terms of the contract.
- Impairment on trade debtors or contract assets: note (1.13) – The Company makes an estimate of the recoverable value of trade and other debtors. The Company applies IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade debtors and contract assets.

25 Approval of the financial statements

The board of directors approved the financial statements on 26 September 2019.